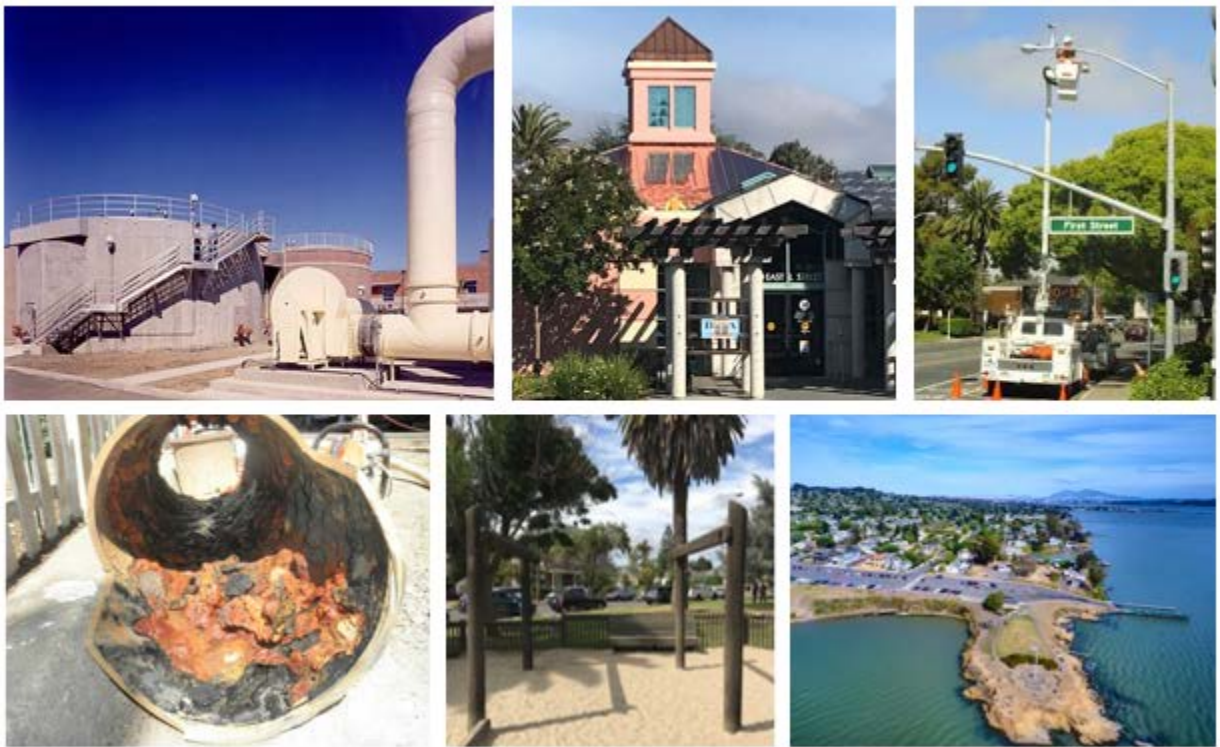




City of Benicia Annual and Five-Year Impact Fee Report

For the Fiscal Year Ending June 30, 2022

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INTRODUCTION AND BACKGROUND

In California, State legislation sets certain legal and procedural parameters for the charging of development impact fees. This legislation was passed as AB1600 by the California Legislature and is now codified as California Government Code Sections 66000 through 66008 ("Mitigation Fee Act"). This State law went into effect on January 1, 1989.

Requirements for Development Impact Fee Reporting

The Mitigation Fee Act imposes certain accounting and reporting requirements with respect to the fees collected. The fees must be deposited in a special account to avoid commingling the fees with the City's other revenues or funds. Interest on each development fee fund or account must be credited to that fund or account and used only for those purposes for which the fees were collected.

The Mitigation Fee Act also requires any local agency that imposes development impact fees to prepare an annual report and a five-year report that provide specific information about those fees. This report serves both of those functions and has been prepared for the City of Benicia for the fiscal year (FY) ended June 30, 2022 in accordance with the provisions of the California Government Code Section 66006 (b) and 66001 (d).

Annual Report

California Government Code Section 66006 (b) requires each local agency that imposes Development Impact Fees under the Mitigation Fee Act to prepare an annual report providing specific information about those fees for the previous fiscal year. Specifically, Section 66006 (b) requires that for each separate fund the local agency shall make available to the public the information shown below for the most recent fiscal year.

- 66006 (b) (1) (A): A brief description of the type of fee in the account or fund.
- 66006 (b) (1) (B): The amount of the fees.
- 66006 (b) (1) (C): The beginning (July 1) and ending (June 30) balance of a particular impact fee fund.
- 66006 (b) (1) (D): The amount of the fees collected and interest earned by fund.
- 66006 (b) (1) (E): An identification of each public improvement upon which fees were expended and the amount of expenditures on each improvement including the total percentage of the cost of the public improvement that was funded with fees.
- 66006 (b) (1) (F): An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.
- 66006 (b) (1) (G): A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the

repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.

- 66006 (b) (1) (H): A summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

State law requires the City to prepare and make available to the public the above information within 180 days after the last day of each fiscal year. The City Council must review the annual report at a regularly scheduled public meeting not less than fifteen days after the information is made available to the public. This report was filed with the City Clerk's office and available for public review on December 13, 2022.

Five-Year Report

California Government Code Section 66001 (d) (1) requires the local agency make all of the following findings every fifth year with respect to that portion of the account remaining unexpended, whether encumbered to a specific project or remaining unencumbered in an impact fee fund.

- 66001 (d) (1) (A): Identify the purpose to which the fee is to be put.
- 66001 (d) (1) (B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001 (d) (1) (C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001 (d) (1) (D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

Establishing a Reasonable Relationship Between the Fee and the Purpose for Which It Is Charged

Development Impact Fees provide the proportionate share of the funding for the City's capital facilities needs that can be reasonably attributed to new growth in the City. The revenue, in turn provides the transportation facilities, water and wastewater infrastructure, parkland, and library improvements, necessary to mitigate the impacts of new residential, commercial, and industrial development on the City of Benicia and its residents and businesses.

In order to ensure a reasonable relationship between the fee and the purpose for which it is charged, development Impact Fees in the City of Benicia are derived based on mathematical calculations that consider future development, the facilities and infrastructure needed to serve that future development, and the estimated costs of those improvements. These mathematical calculations establish the relationship between contemplated future development, the facilities needed to serve that development, and the estimated costs of those improvements based on the City's CIP. The Development Impact Fees are then used to fund facilities and infrastructure necessary to serve new development. Absent a comprehensive impact fee update, the

Development Impact Fees are typically adjusted annually in accordance with the Engineering News Record Construction Cost Index.

Funding of Infrastructure

The State of California Government Code Section 66002 states that local agencies that have developed a fee program may adopt a Capital Improvement Program (CIP) indicating the approximate location, size, and timing of projects, plus an estimate for the cost of all facilities or improvements to be financed by fees.

The City of Benicia has developed and adopted a CIP, which is updated every two years at a minimum, during the normal fiscal budget process. The City's current, adopted 2019/20 – 2023/24 Capital Improvement Program can be found on the City's website at www.ci.benicia.ca.us.

As a CIP project is identified, the project is evaluated to determine the portion of the project that will serve existing residents and businesses versus new development. This analysis is used to determine the portion of the project that is eligible to receive impact fee funding. The anticipated funding and commencement dates for projects are indicated and may be adjusted, as needed, to reflect the needs of the community, funding constraints, and development priorities. Any modification of impact fee funding within the CIP requires Council action. Mid-year CIP budget adjustments occur as needed wherein staff seeks City Council approval to modify the CIP list of projects, or to modify the budget allocated to specific CIP projects.

ANNUAL REPORT

Description of Impact Fee Programs

66006(b)(1)(A) and 66013(d)(1)

The City has five development impact fee programs. Per City policy, the Parkland Improvement Impact Fee is only charged to new, non-subdivision, residential development in the City, and the Library Impact Fee is only charged to new residential development. The Transportation Impact Fee and the Water and Wastewater Capacity Fees are charged to all new development.

- 1. Water Capacity Fee (BMC 13.12.050).** The water capacity fee is a one-time charge that the City imposes on residential and non-residential customers that require new or expanded connections to the City's water system. The purpose of this fee is to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide water capacity for new or expanded water connections.¹
- 2. Wastewater Capacity Fee (BMC 13.52.040).** The wastewater (also referred to as "sewer") capacity fee is a one-time charge that the City imposes on residential and non-residential customers that require new or expanded connections to the City's wastewater system. The purpose of this fee is to fund a proportionate share of the costs of existing and future wastewater system facilities and assets that are reasonably necessary to provide wastewater capacity to new or expanded wastewater connections.
- 3. Transportation Impact Fee (BMC 5.38).** The transportation (formerly "traffic") fee is a one-time charge that the City charges to new development. The purpose of this fee is to fund planning, design, development, and construction of auto-oriented and multimodal transportation improvements which are reasonably necessary to mitigate the impacts of future development on the City's circulation network. Such improvements include, but are not limited to, roadway improvements, signalization improvements, other public right-of-way improvements such as bus shelters, and multimodal improvements, such as bikeways and sidewalks.
- 4. Library Impact Fee (BMC 5.37).** The library (formerly "library book") fee is a one-time charge that the City charges to new residential development. The purpose of the fee is to fund improvements to the City's library reasonably needed to serve new development, such as capital investments in the technology that supports the library systems, expansions of library infrastructure and facilities, and expansion of the quality and quantity of the collection held within the City's library.

¹ The water and wastewater capacity fees are subject to the reporting requirements in Government Code section 66013(d), rather than the requirements in sections 66006(b) and 66001(d). However, since the information required by sections 66006(b) and 66001(d) encompasses the information required by 66013(d), the City is complying with the water and wastewater capacity fee reporting requirements by including them in this impact fee report.

- 5. Parkland Improvement Impact Fee (BMC 5.39).** The parkland improvement fee is a one-time charge that the City charges to new non-subdivision residential development to fund the planning, designing, developing, and improving of the City's parkland and trails. The Park Impact Fee is charged to mitigate the impact of new development on the need for improved parkland and trails in the City.

Current Impact Fee Schedules

66006(b)(1)(B)

A comprehensive evaluation of the City's five impact fee programs was undertaken in 2020 and the update was presented to the City Council at the December 15, 2020 Public Hearing and adopted at the January 5, 2021 meeting. The adopted library, parkland improvement, transportation, and water capacity fees were phased in, with the first phase going into effect on March 8, 2021 and the second (and final) phase going into effect on July 1, 2022.² The adopted wastewater capacity fees were not phased in and went into effect on March 8, 2021. In the following section, the fees that were in effect during the fiscal year ending June 30, 2022 are presented alongside the fees that are currently in effect.

Library and Parkland Improvement Impact Fees

The fees in effect during the fiscal year ending June 30, 2022 and the current fees are presented below in **Table 1**.

Table 1 Immediately Prior and Current Library and Parkland Improvement Impact Fees

Land Use	Library Impact Fee		Parkland Improvement Impact Fee	
	Prior Fee <i>effective 3/8/21</i>	Current Fee <i>effective 7/1/22</i>	Prior Fee <i>prior to 3/8/21</i>	Current Fee <i>effective 7/1/22</i>
Residential	<u><i>Fee Amount per Unit</i></u>		<u><i>Fee Amount per Unit</i></u>	
Single Family Unit	\$291	\$348	\$7,081	\$8,034
Multifamily Unit	\$253	\$270	\$5,773	\$6,235
Accessory Dwelling Unit (≥ 750 sq.ft.)	<i>varies in proportion to size of primary residence</i>		<i>varies in proportion to size of primary residence</i>	

² See Resolution 21-2.

Transportation Impact Fees

The fees in effect during the fiscal year ending June 30, 2022 and the current fees are presented below in **Table 2**.

Table 2 Immediately Prior and Current Transportation Impact Fees

Land Use	Transportation Improvement Impact Fee	
	Prior Fee effective 3/8/21	Current Fee effective 7/1/22
Residential	<i>Fee Amount per Unit</i>	
Single Family Unit	\$3,972	\$5,763
Multifamily Unit	\$2,290	\$3,227
Accessory Dwelling Unit (≥ 750 sq.ft.)	varies in proportion to size of primary residence	
Nonresidential	<i>Fee Amount per 1,000 Building Square Feet (except lodging)</i>	
Retail/Commercial	\$7,492	\$7,492
Service/Commercial	\$13,178	\$15,618
Institutional/Assembly	\$1,095	\$1,095
Office	\$4,304	\$5,360
Lodging (fees are per room)	\$1,663	\$2,017
Industrial	\$4,688	\$7,261
Warehouse/Distribution	\$1,444	\$2,190
Nonresidential Agricultural	\$1,038	\$2,075
Accessory Structures		

Water Capacity Fees

The fees in effect during the fiscal year ending June 30, 2022 and the current fees are presented below in **Table 3**.

Table 3 Immediately Prior and Current Water Capacity Fees

Land Use	Water Capacity Fees	
	Prior Fee effective 3/8/21	Current Fee effective 7/1/22
Residential		
	<i>Fee Amount per Unit</i>	
Single Family Unit	\$9,192	\$12,354
Multifamily Unit	\$7,227	\$8,423
	<i>Fee Amount per Sq.Ft.</i>	
Accessory Dwelling Unit	\$4.41	\$4.41
Nonresidential		
	<i>Fee Amount per Meter Size</i>	
Up to 3/4-inch	\$8,350	\$12,354
1-inch	\$15,728	\$20,591
1-1/2-inch	\$31,456	\$41,181
2-inch	\$50,329	\$65,890
3-inch	\$94,367	\$123,544
4-inch	\$168,144	\$205,907
6-inch	\$352,585	\$411,814
8-inch	\$525,022	\$658,903

Wastewater Capacity Fees

Unlike the library, parkland improvement, transportation, and water capacity fees, the wastewater capacity fees were not phased in upon adoption. The fees that were in effect during the fiscal year ending June 30, 2022 remain in effect and are presented below in **Table 4** and **Table 5**.

Table 4 Current Residential Wastewater Capacity Fees

Land Use	Wastewater Capacity Fees
	Current Fee effective 3/8/21
Residential	<i>Fee Amount per Unit</i>
Single Family Unit	\$14,257
Multifamily Unit	\$13,160
Accessory Dwelling Unit	\$5.09

Table 5 Current Nonresidential Wastewater Capacity Fees

Meter Size	Wastewater Capacity Fees		
	Current Fee effective 3/8/21		
Nonresidential	<i>Fee Amount per Meter Size and Strength Classification</i>		
	<u>Class A</u>	<u>Class B</u>	<u>Class C</u>
Up to 3/4-inch	\$18,167	\$19,869	\$22,792
1-inch	\$30,244	\$33,077	\$37,944
1-1/2-inch	\$60,591	\$66,268	\$76,017
2-inch	\$96,925	\$106,006	\$121,601
3-inch	\$181,669	\$198,690	\$227,921
4-inch	\$302,748	\$331,113	\$379,826
6-inch	\$605,598	\$662,339	\$759,781
8-inch	\$968,937	\$1,059,719	\$1,215,624

Annual Financial Summary

**Table 6 Annual Financial Summary
Statement of All Impact Fee Programs'
Revenues, Expenditures, and Changes in Fund Balance
For the Fiscal Year Ending June 30, 2022**

Description	Development Impact Fee Program				
	Transportation	Park Improvement	Library	Water	Wastewater
REVENUES					
Fees	\$10,621	\$16,555	\$663	\$52,402	\$34,018
Interest	(\$687)	\$853	\$11	\$22,487	\$43,548
Deferred Revenue	\$14,577	\$0	\$0	\$18,690	\$29,337
Other Revenue	\$0	\$0	\$0	\$0	\$0
Total Revenues	\$24,511	\$17,408	\$674	\$93,579	\$106,903
EXPENDITURES					
Capital Improvements	\$927,890	\$0	\$0	\$66,027	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0
Other Expenditures	\$8,800	\$0	\$0	\$53	\$0
Total Expenditures	\$936,690	\$0	\$0	\$66,080	\$0
REVENUES OVER (UNDER) EXPENDITURES	(\$912,179)	\$17,408	\$674	\$27,499	\$106,903
Fund Balance, Beginning of Year	\$940,388	\$230,339	\$1,883	\$2,789,927	\$7,444,395
Prior Year(s) Budgeted Commitments	(\$912,179)	\$17,408	\$674	\$27,499	\$106,903
Fund Balance, End of Year [1]	\$27,032 [2]	\$247,747	\$2,557	\$2,816,479 [3]	\$7,551,298

[1] Fund Balance for FY 2021-22 is unaudited.

[2] Fund Balance for FY 2021-22 reflects an adjustment of -\$1,176.94 due to timing of audit.

[3] Fund Balance for FY 2021-22 reflects an adjustment of -\$947 due to timing of audit.

Library Impact Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) for the Library Impact Fee Program.

Table 7 Library Impact Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2022

Description	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
REVENUES					
Fees	\$705	\$1,175	\$940	\$0	\$663
Interest [1]	\$40	\$199	\$244	\$36	\$11
Loan Payments					
Other Revenue					
Total Revenues	\$745	\$1,374	\$1,184	\$36	\$674
EXPENDITURES					
Capital Improvements (e.g., Library Investments)	\$0	\$0	\$0	\$17,889	\$0
Loan Payments	\$0	\$0	\$0	\$0	\$0
Other Expenditures [2]	\$333	\$0	\$0	\$0	\$0
Total Expenditures	\$333	\$0	\$0	\$17,889	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$412	\$1,374	\$1,184	(\$17,853)	\$674
Fund Balance, Beginning of Year	\$16,765	\$17,178	\$18,552	\$19,736	\$1,883
Fund Balance, End of Year [3]	\$17,178	\$18,552	\$19,736	\$1,883	\$2,557
Five Year Revenue Test					
Available Revenue					
Current Year	\$745	\$1,374	\$1,184	\$36	\$674
2-Year Old Funds	\$3,071	\$745	\$1,374	\$1,184	\$36
3-Year Old Funds	\$1,438	\$3,071	\$745	\$1,374	\$1,184
4-Year Old Funds	\$711	\$1,438	\$3,071	\$745	\$1,374
5-Year Old Funds	\$471	\$711	\$1,438	\$3,071	\$745
Total Revenue Received During Five-Year Period	\$6,435	\$7,339	\$7,813	\$6,411	\$4,014
Total Revenue Available	\$17,178	\$18,552	\$19,736	\$1,883	\$2,557
Available Revenue Greater than Five Prior Fiscal Years [4]	\$10,742	\$11,213	\$11,924	(\$4,528)	(\$1,457)

[1] Interest earnings from investments are allocated across City funds quarterly based on each fund's cash balance.

[2] Expenditures were for circulation materials with a useful life of more than five years.

[3] Fund Balance for FY 2021-22 is unaudited.

[4] In using the revenue and expenditure reports to report fees that have been held past the fifth year of first deposit, the total revenues received over the five-year period must be subtracted from the ending fund balance. Any fund balance in excess of the prior five years' revenue must have findings reported in accordance with Government Code 66001 (d).

**Table 8 Library Impact Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2022**

Improvement Name	FY 2021/22	Total Project Costs	2021/22 Impact Fee Expenditures as a % of Total Project
Capital Expenditures	\$0	n/a	n/a
TOTAL, Capital Expenditures	\$0		
Materials & Services	\$0.00	n/a	n/a
Subtotal, Related Project Management Expenditures	\$0		
TOTAL	\$0		

Parkland Improvement Impact Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) for the Parkland Improvement Impact Fee Program.

**Table 9 Parkland Improvement Impact Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2022**

Description	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
REVENUES					
Fees	\$6,127	\$10,620	\$18,381	\$0	\$16,555
Interest [1]	\$180	\$1,433	\$2,591	\$3,034	\$853
Loan Payments					
Other Revenue					
Total Revenues	\$6,307	\$12,053	\$20,972	\$3,034	\$17,408
EXPENDITURES					
Capital Improvements	\$0	\$0	\$0	\$50,928	\$0
Loan Payments					
Other Expenditures	\$0	\$0	\$0	\$0	\$0
Total Expenditures	\$0	\$0	\$0	\$50,928	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$6,307	\$12,053	\$20,972	(\$47,894)	\$17,408
Fund Balance, Beginning of Year	\$238,901	\$245,208	\$257,261	\$278,233	\$230,339
Fund Balance, End of Year [2]	\$245,208	\$257,261	\$278,233	\$230,339	\$247,747
Five Year Revenue Test					
Available Revenue					
Current Year	\$6,307	\$12,053	\$20,972	\$3,034	\$17,408
2-Year Old Funds	\$0	\$6,307	\$12,053	\$20,972	\$3,034
3-Year Old Funds	\$1,863	\$0	\$6,307	\$12,053	\$20,972
4-Year Old Funds	\$18,263	\$1,863	\$0	\$6,307	\$12,053
5-Year Old Funds	\$6,039	\$18,263	\$1,863	\$0	\$6,307
Total Revenue Received During Five-Year Period	\$32,472	\$38,486	\$41,195	\$42,366	\$59,774
Total Revenue Available	\$245,208	\$257,261	\$278,233	\$230,339	\$247,747
Available Revenue Greater than Five Prior Fiscal Years [3]	\$212,736	\$218,775	\$237,038	\$187,973	\$187,973

[1] Interest earnings from investments are allocated across City funds quarterly based on each fund's cash balance.

[2] Fund Balance for FY 2021-22 is unaudited.

[3] In using the revenue and expenditure reports to report fees that have been held past the fifth year of first deposit, the total revenues received over the five-year period must be subtracted from the ending fund balance. Any fund balance in excess of the prior five years' revenue must have findings reported in accordance with Government Code 66001 (d).

**Table 10 Parkland Improvement Impact Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2022**

Improvement Name	FY 2021/22	Total Project Costs	2021/22 Impact Fee Expenditures as a % of Total Project Costs
Capital Expenditures	\$0	n/a	n/a
TOTAL, Capital Expenditures	\$0		

Transportation Impact Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) for the Transportation Impact Fee Program.

**Table 11 Transportation Impact Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2022**

Description	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
REVENUES					
Fees	\$140,754	\$12,722	\$75,084	\$88,115	\$10,621
Interest [1]	\$6,351	\$27,046	\$25,422	\$1,969	(\$687)
Deferred Revenue					\$14,577
Other Revenue					\$0
Total Revenues	\$147,105	\$39,768	\$100,506	\$90,084	\$24,511
EXPENDITURES					
Capital Improvements	\$95,122	\$37,373	\$103,390	\$47,225	\$927,890
Loan Payments					
Other Expenditures [2]	\$30,270	\$11,640	\$9,575	\$5,350	\$8,800
Total Expenditures	\$125,392	\$49,013	\$112,966	\$52,575	\$936,690
REVENUES OVER (UNDER) EXPENDITURES	\$21,713	(\$9,245)	(\$12,460)	\$37,509	(\$912,179)
Prior Year Fund Balance Adjustment [3]				\$1,084	(\$1,276)
Fund Balance, Beginning of Year	\$903,063	\$924,776	\$915,531	\$903,071	\$940,388
Fund Balance, End of Year [4,5]	\$924,776	\$915,531	\$903,071	\$941,664	\$27,032
Five Year Revenue Test					
Available Revenue	\$147,105	\$39,768	\$100,506	\$90,084	\$24,511
Current Year	\$44,655	\$147,105	\$39,768	\$100,506	\$90,084
2-Year Old Funds	\$23,017	\$44,655	\$147,105	\$39,768	\$100,506
3-Year Old Funds	\$61,968	\$23,017	\$44,655	\$147,105	\$39,768
4-Year Old Funds	\$35,738	\$61,968	\$23,017	\$44,655	\$147,105
5-Year Old Funds	\$312,482	\$316,513	\$355,050	\$422,118	\$401,973
Total Revenue Received During Five-Year Period					
Total Revenue Available	\$924,776	\$915,531	\$903,071	\$941,664	\$27,032
Available Revenue Greater than Five Prior Fiscal Years [6]	\$612,294	\$599,018	\$548,021	\$519,547	(\$374,941)

[1] Interest is composed of loan interest revenue and investment earnings, which was negative in FY2022 and is allocated across City funds quarterly based on each fund's cash balance.

[2] Other Expenditures includes materials, supplies, and professional/technical consulting services.

[3] The line item accounts for fund balance adjustments required following the annual audit.

[4] Fund Balance for FY 2021-22 is unaudited.

[5] Fund Balance for FY 2021-22 reflects an adjustment of -\$1,176.94 due to timing of audit.

[6] In using the revenue and expenditure reports to report fees that have been held past the fifth year of first deposit, the total revenues received over the five-year period must be subtracted from the ending fund balance. Any fund balance in excess of the prior five years' revenue must have findings reported in accordance with Government Code 66001 (d).

**Table 12 Transportation Impact Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2022**

Improvement Name	FY 2021/22	Total Project Costs	2021/22 Impact Fee Expenditures as a Percent of Total Project Costs
Capital Expenditures			
Columbus Parkway Widening	\$917,967	\$1,147,894	80%
Citywide Traffic Calming Plan and Physical Improvements	\$9,923	\$1,000,000	1%
Subtotal, Capital Expenditures	\$927,890		
Other Expenditures			
Allocation for City Staff			
Materials & Services	\$8,800		
Subtotal, Other Expenditures	\$8,800		
TOTAL	\$936,690		

Water Capacity Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) and Section 66013(d)(2), (3), and (4)(A) and (B) for the Water Capacity Fee Program.

Table 13 Water Capacity Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2022

Description	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
REVENUES					
Fees	\$62,552	\$55,735	\$68,022	\$17,632	\$52,402
Interest [1]	\$26,731	\$69,036	\$68,799	\$7,961	\$22,487
Deferred Revenue					\$18,690
Other Revenue					
Total Revenues	\$89,283	\$124,771	\$136,821	\$25,593	\$93,579
EXPENDITURES					
Capital Improvements	\$914,948	\$233,275	\$0	\$0	\$66,027
Loan Payments					\$0
Other Expenditures	\$36,094	\$154,340	\$0	\$0	\$53
Total Expenditures	\$951,042	\$387,614	\$0	\$0	\$66,080
REVENUES OVER (UNDER) EXPENDITURES	(\$861,759)	(\$262,843)	\$136,821	\$25,593	\$27,499
Prior Year Fund Balance					\$939
Adjustment [2]					
Fund Balance, Beginning of Year	\$3,751,177	\$2,889,418	\$2,626,574	\$2,763,395	\$2,789,927
Fund Balance, End of Year [3,4,5]	\$2,889,418	\$2,626,574	\$2,763,395	\$2,788,988	\$2,816,479
Five Year Revenue Test					
Available Revenue	\$89,283	\$124,771	\$136,821	\$25,593	\$93,579
Current Year	\$114,963	\$89,283	\$124,771	\$136,821	\$25,593
2-Year Old Funds	\$84,695	\$114,963	\$89,283	\$124,771	\$136,821
3-Year Old Funds	\$56,901	\$84,695	\$114,963	\$89,283	\$124,771
4-Year Old Funds	\$60,117	\$56,901	\$84,695	\$114,963	\$89,283
5-Year Old Funds	\$405,960	\$470,613	\$550,533	\$491,431	\$470,047
Total Revenue Received During Five-Year Period					
Total Revenue Available	\$2,889,418	\$2,626,574	\$2,763,395	\$2,788,988	\$2,816,479
Available Revenue Greater than Five Prior Fiscal Years [6]	\$2,483,458	\$2,155,961	\$2,212,862	\$2,297,557	\$2,346,433

[1] Interest is allocated across City funds quarterly based on each fund's cash balance.

[2] The line item accounts for fund balance adjustments required following the annual audit.

[3] Fund Balance excludes \$3,592,520.68 of Net Capital Assets and Fair Market Value Adjustments.

[4] Fund Balance for FY 2021-22 is unaudited.

[5] Fund Balance for FY 2021-22 reflects an adjustment of -\$947.

[6] In using the revenue and expenditure reports to report fees that have been held past the fifth year of first deposit, the total revenues received over the five-year period must be subtracted from the ending fund balance. Any fund balance in excess of the prior five years' revenue must have findings reported in accordance with Government Code 66001 (d).

**Table 14 Water Capacity Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2022**

Improvement Name	FY 2021/22	Total Project Costs	2021/22 Impact Fee Expenditures as a % of Total Project Costs
West 7th St 12-inch Water Main Improvement Project [1]	\$66,027	\$191,652.00	34%
Subtotal, Capital Expenditures	\$66,027		
Related Project Management Expenditures	\$0		
Materials & Services	\$0.00		
Other	\$52.92		
Subtotal, Related Project Management Expenditures	\$53		
TOTAL	\$66,080		

[1] Engineering design services that are in progress.

Note: Consistent with the requirements of Government Code 66013(d)(4)(B), which governs reporting for water and wastewater capacity fees, the City indicates that there were no water system improvements completed in FY 2021/22 for which impact fee revenue had been expended.

Wastewater Capacity Fee Fund

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) and Section 66013(d)(2), (3), and (4)(A) and (B) for the Wastewater Capacity Fee Program.

Table 15 Wastewater Capacity Fee Fund
Statement of Revenue, Expenditures, and Changes in Fund Balance
Five Years, Ending June 30, 2022

Description	FY 2017/18	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22
REVENUES					
Fees	\$86,950	\$17,467	\$66,563	\$12,927	\$34,018
Interest [1]	\$68,868	\$302,756	\$243,262	\$22,732	\$43,548
Deferred Revenue					\$29,337
Other Revenue					
Total Revenues	\$155,818	\$320,223	\$309,825	\$35,659	\$106,903
EXPENDITURES					
Capital Improvements	\$9,916	\$8,252	\$3,417,645	\$0	\$0
Loan Payments					
Other Expenditures	\$34,590	\$47,440	\$0	\$0	\$0
Total Expenditures	\$44,506	\$55,692	\$3,417,645	\$0	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$111,312	\$264,531	(\$3,107,820)	\$35,659	\$106,903
Prior Year Fund Balance Adjustment [2]					\$1,372
Fund Balance, Beginning of Year	\$10,139,341	\$10,250,652	\$10,515,183	\$7,407,364	\$7,444,395
Fund Balance, End of Year [3, 4]	\$10,250,652	\$10,515,183	\$7,407,364	\$7,443,023	\$7,551,298
Five Year Revenue Test					
Available Revenue					
Current Year	\$155,818	\$320,223	\$309,825	\$35,659	\$106,903
2-Year Old Funds	\$120,969	\$155,818	\$320,223	\$309,825	\$35,659
3-Year Old Funds	\$181,251	\$120,969	\$155,818	\$320,223	\$309,825
4-Year Old Funds	\$160,882	\$181,251	\$120,969	\$155,818	\$320,223
5-Year Old Funds	\$134,861	\$160,882	\$181,251	\$120,969	\$155,818
Total Revenue Received During Five-Year Period	\$753,781	\$939,143	\$1,088,085	\$942,494	\$928,427
Total Revenue Available	\$10,250,652	\$10,515,183	\$7,407,364	\$7,443,023	\$7,551,298
Available Revenue Greater than Five Prior Fiscal Years [5]	\$9,496,872	\$9,576,041	\$6,319,278	\$6,500,529	\$6,622,870

[1] Interest is allocated across City funds quarterly based on each fund's cash balance.

[2] The line item accounts for fund balance adjustments required following the annual audit.

[3] Fund Balance excludes \$13,197,120.07 of Net Capital Assets and Fair Market Value Adjustments.

[4] Fund Balance for FY 2021-22 is unaudited.

[5] In using the revenue and expenditure reports to report fees that have been held past the fifth year of first deposit, the total revenues received over the five-year period must be subtracted from the ending fund balance. Any fund balance in excess of the prior five years' revenue must have findings reported in accordance with Government Code 66001 (d).

**Table 16 Wastewater Capacity Fee Fund
History of Expenditures
For the Fiscal Year Ending June 30, 2022**

Improvement Name	FY 2021/22	Total Project Costs	2021/22 Impact Fee Expenditures as a % of Total Project Costs
Capital Expenditures	\$0		
TOTAL, Capital Expenditures	\$0	n/a	n/a
TOTAL	\$0		

Note: Consistent with the requirements of Government Code 66013(d)(4)(B), which governs reporting for water and wastewater capacity fees, the City indicates that there were no wastewater system improvements completed in FY 2021/22 for which impact fee revenue had been expended.

Approximate Date of Construction

66006(b)(1)(F)

Section 66006 (b) (1) (F) of the Mitigation Fee Act requires an identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement. The City of Benicia has determined that there are ten public improvements for which sufficient funds have been collected to complete financing.

1. Emergency Standby Power Upgrade

- Funded with water capacity fee revenue.
- Construction is planned to begin in FY 2023/2024.

2. West 7th St. 12-inch Water Main Improvement

- Funded with water capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2022/2023.

3. Lift Stations Electrical Improvements

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2023/2024.

4. E. 7th Street & B St. Lift Station Improvements

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2024/2025.

5. ECR-1 and ECR-2 Electrical Distribution Modifications

- Funded with wastewater capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2024/2025.

6. Cathodic Protection Rehabilitation

- Funded with wastewater capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2024/2025.

7. Effluent Diversion (Wrap Around) Pipe Replacement

- Funded with wastewater capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2023/2024.

8. Park Road Forcemain

- Funded with wastewater capacity fee revenue and rate revenue.
- Construction is planned to begin in FY 2023/2024.

9. Disinfection Analyzing Room Improvements

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2023/2024.

10. Headworks Improvements

- Funded with wastewater capacity fee revenue.
- Construction is planned to begin in FY 2023/2024.

Interfund Transfers or Loans

66006(b)(1)(G) and 66013(d)(5)

Section 66006 (b) (1) (G) of the Mitigation Fee Act requires a description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.

In the fiscal year ended June 30, 2022, there were no interfund transfers or loans made from any of the impact fee funds.

Summary of Refunds

66006(b)(1)(H)

Section 66006 (b) (1) (H) of the Mitigation Fee Act requires a summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

At this time, all fees collected have been earmarked for current or future capital projects necessary to maintain the current levels of service to serve new development.

FIVE-YEAR REPORT AND FINDINGS

California Government Code Section 66001(d)(1) requires the City to make findings every fifth year with respect to that portion of each impact fee account that remains unexpended, whether encumbered to a specific project or remaining unencumbered in an impact fee fund. As of June 30, 2022, the five-year revenue tests (included as part of **Table 7**, **Table 9**, **Table 11**, **Table 13**, and **Table 15**) indicate that each of the City's development impact fee funds, except the Library Impact Fee Fund and the Transportation Impact Fee Fund has unexpended funds that have been held past the fifth year of first deposit. Therefore, the City is reporting the following findings relating to each of the fee programs, excluding the Library Impact Fee and the Transportation Impact Fee.

- 66001(d)(1)(A): Identify the purpose to which the fee is to be put.
- 66001(d)(1)(B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001(d)(1)(C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001(d)(1)(D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

Parks

- The purpose of the parkland improvement fee is to mitigate the impact of new development on the need for improved parkland and trails in the City so that the ratio of improved parkland and trails per 1,000 residents is maintained as the City's population increases.
- The parkland improvement fee is set at a level to ensure that as new development occurs, the associated growth in the City's resident population will not negatively impact the City's ability to maintain the current ratio of improved parkland and trails per 1,000 residents. The fee generates revenue that the City can then use to fund parkland and trail improvements that expand the City's inventory of improved parkland and trails. This methodology is documented in the Nexus Study and ensures that there is a reasonable relationship between the fee and the purpose for which it charged.
- The portion of the fee account that was collected more than five years ago and that remains unexpended is expected to be used to fund improvements to the Urban Waterfront Enhancement and Implementation of the Bay Trail and Plaza Recommendations. The balance of the project costs is expected to be funded with Measure C revenue and possible grant revenue.
- This project is described in the City's CIP and is expected to begin in FY 2024/25.

Table 178 Development Fee Project Identification: Parks

Project Number	Project Name	CIP	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue	Other Funding Sources
P-042	Urban Waterfront Enhancement (Waterfront Park); Implementation of Bay Trail and Plaza Recommendations	Yes	2024/25	\$1,000,000	23.0%	\$230,000	Measure C, possible grant funding

Water

The following water section also satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following year.

- The purpose of the water capacity fee is to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide water capacity for new or expanded water connections
- The fees are based on an average cost approach under which new or expanded connections would fund their proportionate share of costs for capacity needed in existing and planned water system facilities and assets. Under this approach, new connections pay for their proportionate share of the average cost of facilities needed to meet the demands of the City's service area through projected build-out in 2040. This methodology ensures that there is a reasonable relationship between the fee and the purpose for which it is charged and is documented in the Water & Wastewater Capacity Fee Update study, prepared November 2020 and available on the City's website.
- The portion of the fee account that was collected more than five years ago and that remains unexpended is expected to be used to fund improvements to the water system facilities and assets. To the extent a specific project cannot be fully funded with capacity fee revenue, the balance of the costs is expected to be funded with ratepayer revenue.
- The projects are described in the 2020 Water Condition Assessment, prepared by the engineering firm Stantec and based on input from the City's engineering staff.

Table 180 Development Fee Project Identification: Water

Project Number	Project Name	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue
WD-006	Reliability Transmission Main from WTP	2025/26	\$5,398,000	31%	\$1,649,389
RW-001	Lake Herman Pump Station Improvements	2025/26	\$2,945,000	100%	\$2,945,000
WD-012	Jackson St Reliability Loop	2025/26	\$418,000	100%	\$418,000
WTP-019	WTP SCADA Improvements	2026/27	\$1,977,000	100%	\$1,977,000
WTP-016	Finish Water Sample Pump	2024/25	\$406,000	100%	\$406,000
WTP-017	Power Distribution Upgrade	2024/25	\$3,073,000	100%	\$3,073,000
WTP-018	Emergency Standby Power Upgrade	2023/24	\$930,000	100%	\$930,000
WO-082	West 7th St 12-inch Water Main Improvement	2022/23	\$2,091,652	30%	\$627,496
BPS-002	Booster Pump Station - 2	2024/25	\$3,636,000	50%	\$1,818,000
BPS-003	Booster Pump Station - 3	2024/25	\$2,628,000	50%	\$1,314,000
RW-002	Cordelia Pump Station Improvements	2024/25	\$6,802,000	100%	\$6,802,000
RW-003	Parallel Raw Water Transmission Line	2026/27	\$116,594,000	100%	\$116,594,000
WD-014	Vallejo Treated Water Intertie	2026/27	\$7,803,000	100%	\$7,803,000
WTP-027	Ozonation System	2026/27	\$24,768,000	100%	\$24,768,000
WTP-007	Filter Pipe Gallery Improvements	2023/24	\$832,000	100%	\$832,000

[1] These projects are eligible to be 100% funded with capacity fee revenue but may need supplemental funding if impact fee revenue is not sufficient.

Wastewater

The following wastewater section also satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following year.

- The purpose of the wastewater capacity fee is to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide wastewater capacity for new or expanded water connections. The fees are based on an average cost approach under which new or expanded connections would fund their proportionate share of costs for capacity needed in existing and planned wastewater system facilities and assets. Under this approach, new connections pay for their proportionate share of average cost of facilities needed to meet the demands of the City's service area through projected build-out in 2040. This methodology ensures that there is a reasonable relationship between the fee and the purpose for which it is charged and is documented in the Water & Wastewater Capacity Fee Update study, prepared November 2020 and available on the City's website.
- The portion of the fee account that was collected more than five years ago and that remains unexpended is expected to be used to fund improvements to the wastewater system facilities and assets. To the extent a specific project cannot be fully funded with capacity fee revenue, the balance of the costs is expected to be funded with ratepayer revenue.
- The projects are described in the 2020 Water Condition Assessment, prepared by the engineering firm Stantec and based on input from the City's engineering staff.

Table 21 Development Fee Project Identification: Wastewater

Project Number	Project Name	Estimated Start Year	Total Project Cost	% Funded with Impact Fee Revenue	Amount Funded with Impact Fee Revenue	Other Funding Sources
LS-001	Lift Stations Electrical Improvements	2023/24	\$1,944,000	100%	\$1,944,000	N/A
LS-003	E 7th Street & B St Lift Station Improvements	2024/25	\$995,000	100%	\$995,000	N/A
WWTP-025	ECR-1 and ECR-2 Electrical Disbuton Modifications	2024/25	\$2,961,000	50%	\$1,480,500	Rates
WWTP-030	Cathodic Protection Rehabilitation	2024/25	\$915,000	50%	\$457,500	Rates
WWTP-029	Control System Improvements	2025/26	\$1,025,000	50%	\$512,500	Rates
WWC-019	Bayshore Road	2024/25	\$3,222,000	27%	\$854,816	Rates
WWTP-013	Effluent Diversion (Wrap Around) Pipe Replacement	2023/24	\$210,000	50%	\$105,000	Rates
WWC-023	Park Road Forcemain	2023/24	\$2,789,000	50%	\$1,394,500	Rates
WWTP-026	MCC Modifications and Improvements	2024/25	\$8,711,000	100%	\$8,711,000	N/A
WWTP-024	Disinfection Analyzing Room Improvements	2023/24	\$99,000	100%	\$99,000	N/A
WWTP-004	Headworks Improvements	2023/24	\$514,000	100%	\$514,000	N/A
WWTP-033	Plant Site Civil Improvements	2024/25	\$168,000	100%	\$168,000	N/A
LS-004	Lift Station Improvements	2024/25	\$905,000	100%	\$905,000	N/A
LS-002	Barn & Park Lift Station Improvements	2024/25	\$1,403,000	100%	\$1,403,000	N/A
SUS-001 & 002	Water Reuse Project	2026/27	\$43,936,000	100%	\$43,936,000	N/A
WWC-001	181 East K St Sewer Replacement	2024/25	\$250,000	25%	\$62,500	Rates
WWC-006	500 East H St Sewer Replacement	2024/25	\$300,000	25%	\$75,000	Rates